

THE WALL STREET JOURNAL.

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DJIA 46669.88 ▲ 165.21 0.36% NASDAQ 21996.34 ▲ 0.5% STOXX 600 Closed (596.63) 10-YR. TREAS. ▲ 3/32, yield 4.333% OIL \$112.41 ▲ \$0.87 GOLD \$4,656.80 ▲ \$5.30 EURO \$1.1542 YEN 159.68

What's News

Business & Finance

- ◆ **Paramount** received signed equity commitments of close to \$24 billion from three sovereign-wealth funds led by Saudi Arabia to help back its takeover of Warner Bros. Discovery. **B1**
- ◆ **JPMorgan Chase** Chief Executive Jamie Dimon in his annual letter to shareholders warned that the war in Iran could push up inflation and depress financial markets further if interest rates start to rise. **B1**
- ◆ **Major U.S. stock indexes** rallied, with the S&P 500 and Dow both rising 0.4% and the Nasdaq gaining 0.5% as investors took heart from the latest jobs report. **B11**
- ◆ **Neurocrine** agreed to buy Soleno for \$2.9 billion, giving it the first approved treatment for a rare genetic disorder that causes relentless, life-threatening hunger. **B1**
- ◆ **Amazon.com** and the U.S. Postal Service have reached a new package-handling agreement, subject to approval by federal government regulators. **B2**
- ◆ **An executive overseeing** a U.K. music festival defended booking Kanye West as the event's headliner following criticism from political leaders and the withdrawal of prominent sponsors. **B1**
- ◆ **Anthropic** plans to invest \$200 million in a new venture with private-equity firms that aims to sell AI tools to their portfolio companies. **B2**
- ◆ **SpaceX** delayed the next test flight of its massive Starship rocket, pushing back the mission by at least another month as the company prepares for its public debut. **B4**

Worldwide

- ◆ **Negotiators** are pessimistic Iran will bend to meet Trump's demand to reopen the Strait of Hormuz before his Tuesday night deadline, paving the way for the U.S. to target Iranian bridges and electric plants in a fresh escalation of the war. **A1, A6-8**
- ◆ **Economists** say that the oil shock rippling through Asia is a sign of things to come for countries in Europe and Africa that also rely on petroleum imports from the Middle East. **A8**
- ◆ **The Trump administration** will raise payments to Medicare insurers by 2.48% next year, a dramatic increase from a preliminary proposal that would have held the line on payments. **A1, A2**
- ◆ **California's attorney** general sent a warning to private-equity firms as the state starts to implement a law banning corporate influence in medicine. **A3**
- ◆ **OpenAI** released policy proposals for a world with artificial superintelligence as Congress prepares to debate AI legislation. **A3**
- ◆ **A Goldman Sachs** report analyzing past technology waves warns that AI-displaced workers face potentially severe economic pain. **A3**
- ◆ **Trump accounts**, a savings tool for children created under last year's tax law, will initially be managed by BNY and Robinhood Markets, the Treasury Department said. **A4**
- ◆ **The Supreme Court** paved the way for a lower court to erase the criminal conviction of Trump adviser Steve Bannon, who served four months in prison for defying a House panel subpoena. **A4**

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Astronauts Ride Into the Record Books



MILES TO GO: The astronauts on NASA's Artemis II lunar mission steered their Orion craft into the record books on Monday, reaching a distance of 252,756 miles from Earth before swinging around the moon's far side and beginning their return home. **A3**

Saudi Arabia's Grand Vision Slams Into a Harsh Reality

Budget shortfalls, impractical designs and now war in Iran set back ambitions

Vast development sites around Riyadh trumpet images of a shiny new future for Saudi Arabia—part of Crown Prince

By Stephen Kalin, Eliot Brown and Summer Said

Mohammed bin Salman's grandiose Vision 2030 agenda to turn the petrostate into an international hub of trade, tech-

nology and culture.

Appeals for investment are sprinkled on ubiquitous construction fencing, along with English-language catchphrases such as “redefining livability” and “an extraordinary new normal.” Mohammed’s vision extended to a pledge to invest up to \$1 trillion in the U.S. during a landmark visit to the White House in November, earning him praise from President Trump. The warm embrace was a signal that the de facto Saudi leader, once shunned in the West, was fully rehabilitated on the world stage.

Yet those extraordinary

plans are slamming into reality. Over the past year, the world’s largest oil exporter began pulling back on many of its promised projects and investments, met with budget shortfalls and unrealistic designs. And now the U.S. and Israeli war with Iran has plunged Mohammed’s sweeping vision deeper into jeopardy.

Iran’s closure of the Strait of Hormuz has limited Saudi oil exports to about half their normal capacity. The kingdom has shut down most of its offshore fields and this week stopped operating one of the world’s largest petrochemical plants. Hundreds of Iranian drones

and ballistic missiles launched at Saudi Arabia have hurt its image as a safe place for investors and visitors, even though most were intercepted. Major events have been canceled, including an F1 race, a capital markets forum and a flag football event featuring Tom Brady. On Thursday, major U.S. companies operating in Riyadh told their staff to work from home for the next few days and some large office towers and business parks, including the King Abdullah Financial District, temporarily closed following Iranian threats against U.S. firms.

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Workers Opt to Retire Amid Shift to AI

By Lauren Weber and Ray A. Smith

Luke Michel has already lived through two technology overhauls in his career, first desktop publishing in the 1980s and online publishing later on. But AI? He’s had enough.

So when his employer, the Dana-Farber Cancer Institute, made an early-retirement offer to some staff last year, the 68-year-old content strategist decided to speed up his exit. Before, he’d expected to work

a couple of more years.

“The time and energy you have to devote to learning a whole new vocabulary and a whole new skill set, it wasn’t worth it,” he said.

It isn’t that he’s shunning AI—he’s learning Spanish with the help of Anthropic’s Claude. But, at this point, he’s less than eager to endure all the ways the technology promises to upend work.

“I just want to use it for my own purposes and not someone else’s,” he said.

After rising for decades and then hovering around 40% in the 2010s, the share of Americans over age 55 and in the workforce has slipped to 37.2%, the lowest level in more than 20 years. The financial cushion of rising home equity and stock-market returns is driving some of the decline, economists and retirement advisers said.

But for some older professionals, money is only part of the equation. They said they don’t want to spend the last

years of their career going through the tumult of AI adoption, which has brought new tools, new expectations and a lot of uncertainty.

Many people retire when key elements of their work lives are disrupted at once, said Robert Laura, co-founder of the Retirement Coaches Association and an expert on the psychology of retirement.

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◆ **Report cites setbacks for AI-displaced workers.....** A3

Kids Are Discovering The Landline

Families stave off screen time with a blast from the past

By Nicole Nguyen

Elsie Wright spent months campaigning for a phone. Finally, for Christmas, she got one. But it wasn’t what the fifth-grader had in mind.

It was a landline. American families are leaning in to the low-tech life for their kids, installing home phones to stave off smartphone use. It’s creating some hiccups.

For weeks after getting her phone, Elsie would call friends only to sit in agonizing silence, not knowing what to say.

In Asheville, N.C., Luna James-Martinez, 9, kept hanging up her new Tin Can—a retro-looking, kid-friendly handset—because she thought it was “glitching.”

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Michigan Wins NCAA Title



LONG DROUGHT ENDS: The Wolverines defeated UConn’s Huskies 69-63 in Indianapolis Monday night. It was the first men’s basketball championship for Michigan since 1989. **A16**

Medicare Insurers To Get Major Bump

By Anna Wilde Mathews

The Trump administration will raise payments to Medicare insurers by 2.48% next year, a dramatic increase after a preliminary proposal holding the line on payments drew fierce criticism from the industry and torpedoed shares of the largest companies.

The final 2027 rates for Medicare Advantage, the private-insurer version of the federal program for seniors and the disabled, came in above some analysts’ expectations. Several had suggested a rate increase would likely be finalized at around 1% or slightly higher, with a “bull” case closer to 2% to 3%.

The final increase represents about \$13 billion in additional payments to the insurers.

The announcement marks a stunning turnaround for an industry that has been battered by a series of financial setbacks across multiple lines of business, particularly in the Medi-

Hopes Fade for Iran Deal Ahead of Deadline

Trump vowed to bomb bridges, power plants if Hormuz stays shut

WASHINGTON—Negotiators are pessimistic Iran will bend to meet President Trump’s demand to reopen the Strait of Hormuz before his Tuesday night deadline, paving the way for the U.S. to target Iranian bridges and electric plants in a fresh escalation of the war.

By Robbie Gramer, Summer Said and Alexander Ward

Trump has set a deadline of 8 p.m. EDT on Tuesday for Iran to reach a deal or face attacks on its power plants and bridges.

“The entire country can be taken out in one night, and that night might be tomorrow night,” Trump said during a news conference on Monday.

Now, as everyone from Vice President JD Vance to top Middle Eastern spy chiefs push for a last-ditch ceasefire, Iranian officials are telling mediators they expect a major strike on Tuesday, U.S. officials and mediators said. Trump could also extend the Tuesday deadline, something he has also done multiple times already.

Some U.S. officials said there is too large a gap between Washington’s and Tehran’s positions to narrow before Trump’s deadline. Meanwhile, Iranian officials have told mediators that the U.S. will continue to attack targets in the war-torn country, while further expecting Israel to keep conducting airstrikes to take out senior Iranian officials even if negotiations with the U.S. move forward, Arab officials familiar with the matter said.

Iran is “negotiating, we think, in good faith,” Trump said at the White House on Monday, but if not the U.S. will be “blowing everything up.”

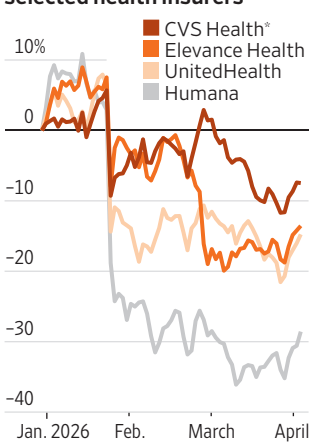
Some U.S. officials said Trump has privately been less hopeful that Iran will make a deal, expecting to issue final orders for strikes

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Iranians Brace For the Worst

In Tehran, civilians fear what’s next..... A7

Share-price performance of selected health insurers



care plans that had long been a major engine of growth.

The January proposal would have held rates roughly flat, and the news wiped out about \$100 billion in market capitalization

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◆ **Why the U.S. spends so much on healthcare.....** A2